StepStone Group (NASDAQ: STEP) ? Private Wealth "Profits Interest" Buyout

Investment Brief ? Structured-Financing Opportunity

Prepared from primary SEC filings (FY2022?FY2026 10-Ks / 10-Qs / 8-Ks), the Nov-2022 Option Agreement (Exhibit 10.1), earnings-call transcripts, and SPW fund prospectuses. Synthesis of ~15 verification agents; all figures traceable to primary source.

THESIS

StepStone must settle a contingent obligation to the founding management team of its fast-growing private-wealth platform (StepStone Private Wealth, "SPW") between mid-2026 and 2027. It is carried at $2.27B, but is a performance-contingent range of ~$564M?$2.26B. Our differentiated finding: the current ~$2.26B mark sits at the performance-peak ceiling ? inflated by one elevated year of SPRING venture-fund incentive fees; on a normalized recurring-fee base the obligation maps toward the ~$564M floor. StepStone has ~zero net recourse leverage and has publicly left the funding route open ("cash, debt, equity, financing"). A large, near-dated, performance-variable, off-leverage-ratio obligation on an unlevered IG balance sheet = a clean opening for a management-GP / non-recourse structured financing, sized to the range with SPRING-incentive-fee variability hedged.

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1. THE OBLIGATION

- Origin (Nov 2022): StepStone granted the SPW founding team (Bob Long, Tom Sittema, Neil Menard, Tim Smith ? ex-Conversus Capital), via CH Equity Partners LLC (f/k/a Conversus Holdings LLC), a profits interest in SPW, with a put/call to buy it back. StepStone owns SPW 100%; CH holds the upside slice.
- Put: CH can force a sale on quarter-ends June 30, 2026 ? June 30, 2027 (first put ?80%). Call: StepStone from Sept 30, 2027 (100%). Mgmt intends to call at the earliest (~Sept 2027), calls it accretive.
- Consideration: cash by default; StepStone may elect up to 75% in stock/units (30% free, rest locked 3 yrs). Liability-classified ? marked to fair value through the P&L (the GAAP "noise": $1.72B FY26 equity-comp charge, ?$535.8M attributable net loss).
- Carried at $2,265.8M (3/31/26); disclosed settlement range $564.4M ? $2,257.6M.

2. THE DIFFERENTIATED INSIGHT ? performance-peak ceiling, not run-rate

Price = SPW adjusted net income ×14.7x (the "adjusted trading multiple" = 70% of STEP’s own ~21x P/ANI, capped at 20x). Backing into the disclosed range (÷14.7x ÷(1?22.6% tax)):

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Disclosed bound  Implied pre-tax earnings base  Composition
Max $2,257.6M  ~$198M  includes SPRING incentive fees
Min $564.4M  ~$50M  ? recurring management-fee earnings only
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The ~4×gap is the performance-fee overlay. Proof: of the FY26 $136.2M "attributable to the profits interests," ~$83M was a single quarter’s (Dec-2025) SPRING incentive-fee crystallization (firm incentive fees +582% to $220M FY26, SPRING/CY2025-return-driven) vs. only ~$50M recurring FRE. The formula annualizes a trailing 6-month base (2×) ? amplifying a hot quarter.
Independently, SPW’s recurring fee engine (~$13?18B AUM ×~1.36% blended fee ×35?50% margin, less a ~50/50 sub-advisory split) supports only ~$57?100M of FRE ? 2?4×short of the $198M ceiling.
Management guided incentive fees to moderate next year.
? Underwrite the obligation as a range whose midpoint is well below $2.26B; the carried mark is a peak.

3. THE FORMULA (Option Agreement §7(p))

Gross Purchase Price = [(2 ×Adjusted Adviser ANI, trailing 6mo) + (60% current-yr + 40%/100% prior-yr incentive fees) ? tax@22.6%] ×Applicable Sale% ×Purchase Multiple
  Purchase Multiple = lesser of 20x and (70% ×STEP’s P/ANI "SSG Multiple") ? 14.7x at 3/31/26.

Net Purchase Price = Gross ? StepStone's returned seed (~$18.6M) + cash – Earnout/Earndown (capped 10%). Seed is trivial ? Net ? Gross; CH's slice ? the whole value of SPW above a tiny hurdle.

Performance/incentive fees enter via the dedicated 60/40/100 incentive-fee terms (not double-counted) ? confirming the base embeds SPRING economics.

4. THE LIABILITY OVER TIME

Quarter-end	Carrying value	Disc. rate	Multiple	SPW AUM
Dec 2022	$3.8M	?	?	~$1.0B
Mar 2024	$28.3M	?	?	$3.4B
Dec 2024	$554.3M	38%	?	$6.3B
Mar 2025	$663.9M	34%	20.0x	$8.2B
Sep 2025	$1,712.9M	30%	20.0x	~$12B
Mar 2026	$2,265.8M	27%	14.7x	~$13?18B

Immaterial through FY2024 ? inflected Dec-2024 ? ~$2.27B by FY2026. Disclosure escalated in lockstep (first min/max FY25; trading multiple + Critical Audit Matter + "may need to seek financing" FY26). Methodology changed 3×(option model ? DCF/market ? contractual redemption price).

5. BALANCE SHEET, TIMING, FUNDING STANCE

Unlevered: ~$270.6M recourse debt ($175M 5.52% notes due Oct-2029 + ~$95M revolver due May-2029) vs. ~$213M cash ? ~$57M net debt, <0.2x leverage, huge headroom (covenant ?3.5x). Low-IG (Moody's-rated). (The $931M "consolidated funds" debt is the non-recourse $3.1B secondaries CFO ? Ares/Barings/Citi, privately rated Cayman SPV ? exclude from leverage.)

Funding undecided & open ? CFO Park (May-2026 call): "no predetermined formula? cash, debt, equity, financing? figure it out as we get closer." CEO leans "largely equity" for alignment. No structured/non-recourse solution has been proposed ? whitespace.

Window: now ? 2027.

6. OPPORTUNITY FOR US

A ~$0.6?2.3B, near-dated, performance-variable insider obligation on an unlevered IG balance sheet, which mgmt would prefer to settle in cash without diluting at a compressed ~16x P/FRE. Fit: management-GP / non-recourse financing secured against SPW fee streams, sized to the floor-to-ceiling range with SPRING-incentive-fee variability hedged/haircut. StepStone is already a sophisticated structured-financing user (just closed the $3.1B secondaries CFO) ? receptive counterparty; known competitive set (Ares/Barings/Citi/Alter Domus).

7. RISKS / DILIGENCE GAPS (must-close)

1. CH's economic % of SPW ? NOT disclosed (governing LLC agreement never filed). The "51%" cited by some sources = $136.2M ÷total firm ANI (51.5%) artifact, not ownership.
2. SPW standalone ANI / the exact buyout base ? NOT disclosed; the $198M/$50M figures are back-into estimates (corroborated by the disclosed range). Schedules A?G (incl. the Basic-ANI worked example and the Peer Set) never filed.
3. Sub-advisory fee split (~50/50 on flagship funds) could halve StepStone-retained SPW revenue.
4. Performance-fee variability is the dominant swing factor ? re-strike sensitivity to SPRING returns.
5. Cash-vs-stock election mechanics; any liens/covenants on SPW fee streams.

RECOMMENDATION

Engage now. Pitch a non-recourse / GP-level cash solution sized to a normalized base (~floor-plus), not the $2.26B peak, with explicit SPRING-incentive-fee sharing/haircut. Priority diligence: the Adviser LLC agreement (CH %, Schedule C base definition), SPW standalone fee P&L, and the cash-vs-stock election.

Prepared by deep-research synthesis. Two caveats baked in: (i) the "$722.8M Q2 net loss" in some press is wrong (filing: ?$575.5M total / ?$366.1M attributable); (ii) the "B/B2" credit ratings online belong to the unrelated German "The Stepstone Group," not NASDAQ:STEP.